



Scaling locally led adaptation

Closing the rhetoric–reality gap

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Over 130 governments and organisations have endorsed the eight principles for locally led adaptation (LLA) since their launch at the Global Adaptation Summit in 2021, yet less than 1% of climate finance incorporates locally led approaches. This gap between rhetoric and reality is costly: with adaptation needs estimated at US\$215–387 billion annually against available finance of just US\$65 billion, ineffective resource allocation has profound consequences for the world’s most climate-vulnerable communities. This paper examines why LLA — which places decision-making power directly in communities’ hands — has gained widespread policy support but minimal implementation at scale. It explores three potential scenarios for LLA by 2030 and charts pathways from principles to scaled-up practice based on extensive stakeholder consultations.

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Abbreviations

CBA	International Conference on Community-based Adaptation to Climate Change
COP	Conference of the Parties to the UNFCCC
CSOs	Civil society organisations
D&C Days	Development and Climate Days
FCDO	UK Foreign, Commonwealth and Development Office
LDCs	Least developed countries
LLA	Locally led adaptation
MDBs	Multilateral development banks
NGOs	Nongovernmental organisations
ODA	Official development assistance
OECD DAC	Organisation for Economic Co-operation and Development's Development Assistance Committee
UNFCCC	United Nations Framework Convention on Climate Change

Summary

Locally led adaptation (LLA) represents a fundamental shift in approaches to building climate resilience. Unlike traditional community-based approaches that involve local participation within predetermined frameworks, LLA requires structural changes that ensure communities have real decision-making power over adaptation priorities, resource allocation and implementation. This distinction matters because local leadership helps ensure more equitable, and often more effective, outcomes than traditional top-down approaches. It is possible to implement community-based adaptation without substantive engagement or shifting of power. It is not possible to support LLA in the absence of structural changes.

The eight principles for LLA, launched at the 2021 Global Adaptation Summit, have gained remarkable traction — with more than 130 endorsements from national governments, civil society organisations (CSOs) and international institutions. However, endorsement has not yet translated to systemic, scaled implementation. The climate finance system shows minimal substantive change, and communities continue to face structural barriers to accessing resources.

The funding crisis — both in terms of availability and effective utilisation — is severe and the most pressing barrier to adaptation action at the local level. Less than 0.2% of all climate finance between 2016 and 2023 incorporated LLA approaches,¹ and, at most, only 10–17% of adaptation funding reached communities.² These figures likely overstate actual flows. With total adaptation finance at US\$65 billion in 2023 against estimated annual needs of between US\$215 billion and US\$387 billion,³ the question becomes: how can available finance be used most effectively? The eight LLA principles offer a framework for this evaluation.

LLA also faces an evidence gap. A 2025 IIED rapid review found only 48 LLA-focused publications of which only 17 met robust evidence criteria.⁴ Of these, 65% were theoretical rather than being implementation-focused, with significant geographic and sectoral gaps. This creates a vicious cycle in which limited 'legitimate' evidence reinforces funder risk perceptions, constraining investments that would generate implementation data.

Additional systemic barriers include upward-focused accountability, disproportionate risk allocation to local partners, high opportunity costs for communities, few dedicated local-access mechanisms and complex application processes that disadvantage marginalised

groups. None of these barriers are unique to LLA, but all pose particular challenges for locally led work.

This paper presents three potential scenarios for LLA by 2030. In the low-ambition scenario, LLA becomes a marginal niche issue as finance regresses and governments pursue large-scale top-down approaches. In the medium-ambition scenario, gradual progress occurs through policy momentum and successful pilot scaling; however, structural inequalities persist. In the high-ambition scenario, a commitment at the 32nd Conference of the Parties to the United Nations Framework Convention on Climate Change (COP32) in 2027 to triple local-level adaptation finance catalyses system transformation, with LLA becoming standard practice. Through these scenarios, we can explore potential futures and identify pathways to generate change.

In September 2025, a Wilton Park event⁵ brought together over 50 participants from national governments in both the global North and global South, donor agencies, multilateral entities, climate funds, nongovernmental organisations (NGOs), CSOs, philanthropies and think tanks. Together, they developed a unified vision for LLA:

*"Locally led approaches to climate action will be a core component of building inclusive, integrated adaptation and resilience to the impacts of climate change."*⁶

From this event, five priority action areas emerged:

- Developing finance models for LLA at scale
- Strengthening institutions supporting LLA
- Creating coordinated advocacy strategies
- Supporting community storytelling and evidence linking, and
- Identifying sectoral and geographic gaps requiring additional champions.

The pathway from principles to practice at scale remains opaque. While the Wilton Park event synthesised extensive consultations and enabled participants to determine a shared vision, translating this into operational change across the climate finance ecosystem requires all actors to confront institutional disincentives among both funders and intermediaries that voluntary commitments alone may not address. This event was a critical step in the process; however, the next phase must move beyond endorsement and towards concrete mechanisms for shifting institutional behaviour at scale.

Locally led adaptation — the journey so far

The ideas behind locally led approaches to adaptation and climate action are not new. For decades it has been clear that development assistance is more effective, more efficient and more sustainable if people in the communities and localities in which investments are made are engaged in their development and implementation — and the more agency people have, the better the outcomes tend to be for communities and the greater the impact for funders.⁷



1.1 From community-based to locally led adaptation

Approaches such as community-driven and community-based development influenced early investments in local-level adaptation via community-based disaster risk reduction and community-based adaptation, which have also proved effective in building local-level resilience to climate change impacts.⁸ These ideas were also captured in the humanitarian Grand Bargain — although, as with other localisation commitments, this has had mixed success.⁹ More recently we have seen an increase in the uptake of LLA language and approaches.¹⁰

The conceptual shift from community-based to locally led adaptation was driven by a desire among practitioners and CSOs to move beyond participation and consultation — which cast people and communities as relatively passive beneficiaries of largely pre-determined adaptation options — to ensuring they had agency over adaptation processes and outcomes. A straightforward way to conceive of the difference is that: it is possible to implement community-based adaptation without substantive engagement or shifting power; it is not possible to support LLA in the absence of structural changes.

The shift from community-based to locally led approaches has generated a lot of momentum and discussion in a relatively short period. However, action has not followed rhetoric to the extent it needs to in order to generate impact at scale.

1.2 The evolution of the principles for locally led adaptation

The Global Commission on Adaptation was launched in 2018 with a “mandate to accelerate adaptation by elevating the political visibility of adaptation and focusing on concrete solutions”.¹¹ In 2020, the Commission’s work plan included an action track on locally led action, and over the course of the year a coalition of more than 50 organisations worked together to develop a set of principles to guide locally led approaches to adaptation.

A guide for more effective and equitable implementation

The resulting eight principles for LLA (see Figure 1 on page 8) were officially announced at the 2021 Global Adaptation Summit in the Netherlands, where they immediately garnered 40 endorsements. The LLA principles aim to guide a more effective and equitable approach to climate change adaptation, ensuring local people and their communities have agency to define,

prioritise, design and evaluate adaptation actions — and can work with local and national governments and international actors to implement them. The principles are structured around systemic barriers to effective adaptation, highlighting the key ingredients for building climate resilience at the local level, sustainably.

The gap between rhetoric and reality

Since their launch, the LLA principles have gained traction in the climate finance community. As of mid-2025, more than 130 national governments, CSOs, NGOs, international organisations and others have endorsed them. Endorsers and supporters continue to engage in a growing community of practice and annual lessons-sharing and learning opportunities, including the Gobeshona Global Conference, the International Conference on Community-based Adaptation to Climate Change (CBA) and Development and Climate (D&C) Days. These form an emerging LLA learning journey.

Despite the popularity of the LLA principles, there remains a significant gap between rhetoric and action. Donors and governments may have endorsed the principles, but there has been minimal follow-through — neither in terms of changes to how climate finance programmes are developed and delivered nor in substantive reductions in the barriers that communities face in accessing resources to advance their own adaptation priorities.

Investments in building a programme that is, from its genesis, anchored in the LLA principles are emerging. One early example is the Generating Ambition for Locally Led Adaptation (GA-LLA) programme, supported by the Dutch government in 2023. This €15 million, five-year programme, which was developed by a group of CSOs, NGOs and research organisations, is supporting LLA action in communities, undertaking research on effectiveness and working to influence key actors in the climate finance landscape. We have also seen the launch of three dedicated LLA mechanisms under the Adaptation Fund. These mechanisms are slowly becoming operational and should result in a significant increase in projects built from the ground up with the LLA principles as a core component. The World Bank and Green Climate Fund have developed guidelines on locally led climate action, drawing from the LLA principles, and aim to scale up their support for local-level adaptation action.

1.3 Where we are now

A range of conversations, consultations and convenings (see Figure 2 on page 9) have delivered significant progress (see Box 1 on page 8) towards LLA approaches playing a more central role in the climate finance landscape and being deployed at scale. These dialogues have been broad in their remit

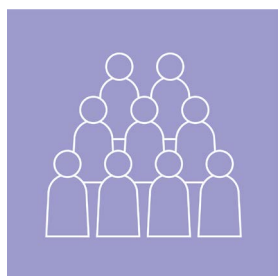
and have engaged an extensive range of stakeholders including national governments, bilateral donor agencies, multilateral agencies, climate funds, research/policy institutions, NGOs, Indigenous Peoples' groups, CSOs, philanthropies (including majority-world) and, increasingly, development finance institutions and private sector actors. Most participants have been either in champion organisations or champions within organisations.

The imperative now is to take the conversation mainstream and find effective ways to engage a broader audience; including a wider range of actors and institutions (among them non-traditional donors, private sector actors and a broader range of intermediaries) must be a high priority if we are to find effective pathways to scaling up. However, we need to ensure that, in 'broadening the tent', we do not lower the barriers to entry so far that anything and everything counts as LLA. Finding a balance here will be tricky, but it is critical that we do so.

BOX 1. KEY OUTCOMES FROM DIALOGUES

- Raising the profile of LLA as a key modality to build the resilience of climate-vulnerable communities globally.
- Providing a framework for strengthening existing collaborations to solidify existing programming and develop scalable approaches.
- Providing a platform for the development of new and different configurations of partners to collaborate via emerging consortiums, unusual partnerships and atypical resourcing strategies.
- Starting the process of developing a shared narrative of a future state with scaled LLA.
- Helping refine understandings of what is 'in' and 'out' of scope for LLA, and who decides.

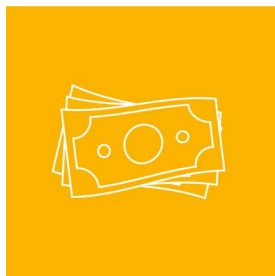
Figure 1. The eight principles for locally led adaptation



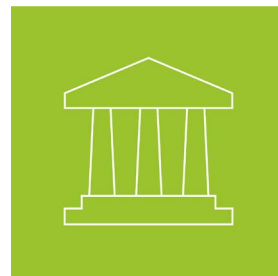
Devolving decision making to the lowest appropriate level



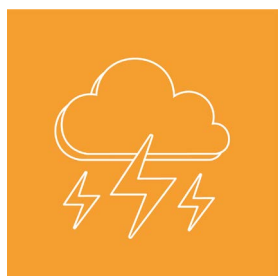
Addressing structural inequalities



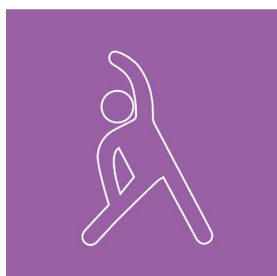
Providing patient and predictable funding



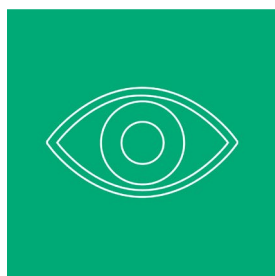
Investing in local capabilities to leave an institutional legacy



Building a robust understanding of climate risk and uncertainty



Flexible programming and learning

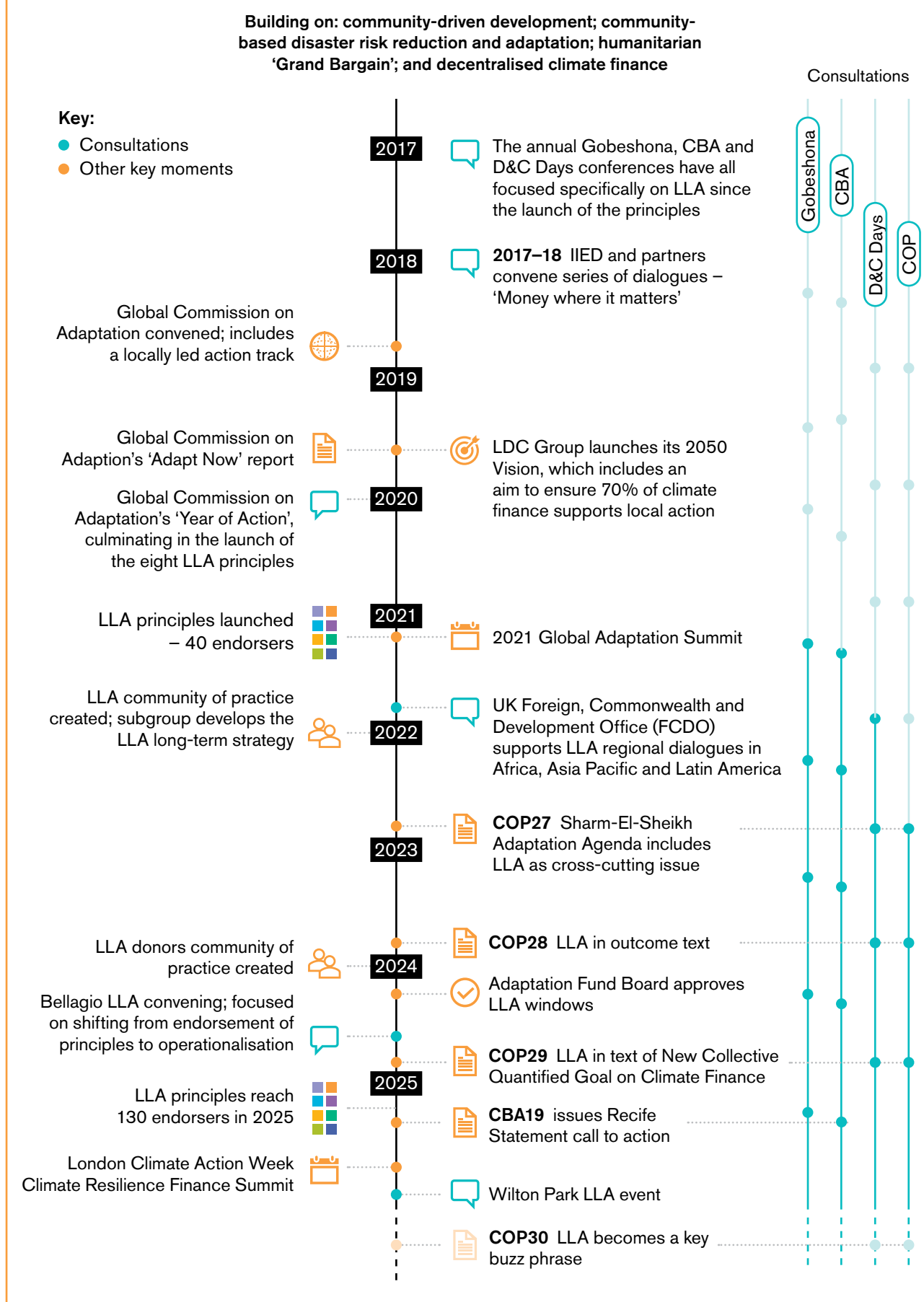


Ensuring transparency and accountability



Collaborative action and investment

Figure 2. Key moments and consultations



The many (and familiar) barriers to scaling up LLA approaches

Despite a positive trajectory, LLA approaches continue to lack both funding and implementation at scale. Targeted research and collaborative discussions between and within a range of constituencies of funders, intermediaries and recipients have identified a range of barriers to scaling LLA approaches.



None of these barriers are unique to LLA approaches; all are common to broader adaptation action and development practice. However, several pose particular

challenges in the context of locally led approaches, largely because they are so different to development- and adaptation-as-usual approaches (see Table 1, column 1).

Table 1. Barriers to locally led adaptation approaches

POSE PARTICULAR CHALLENGES FOR LLA APPROACHES SPECIFICALLY	COMMON TO BROADER ADAPTATION ACTION AND DEVELOPMENT PRACTICE
▪ Strong tendency towards upwards accountability and extractive monitoring and evaluation systems ▪ Disproportionate distribution of risk, with local partners and intermediaries holding a greater share of risks than funders ▪ High opportunity costs and actual costs for communities and CSOs to access resources ▪ Few dedicated mechanisms that prioritise local-level access to climate finance ▪ Inherent or presumed focus on decentralisation within programmes and projects, which is not always palatable to national governments. While decentralisation is not essential for LLA, it is helpful. More critical is power sharing, which can be even more difficult for centralised systems to action ▪ Lack of complementarity between 'top-down' and 'bottom-up' approaches — need some systems coherence focus, especially in the 'missing middle' of subnational government ▪ Assumption that LLA means small scale and NGO/CSO implemented only, whereas we need a range of approaches at all levels to achieve scale and increase reach ▪ Mismatches between the scale of funds available and the absorptive capacity of local institutions; ironically, while there is far too little adaptation finance to meet needs overall, the individual packets in which available funding is being disbursed are often too big for local entities to manage ▪ No clear ways to measure success. While process is critical, LLA approaches take time to show impact in ways that are visible and/or acceptable to funders. We also lack clear methodologies with which to measure impact over time ▪ Low evidence of impact that speaks to funders of any kind makes it harder for donor partners to make the investment case in an increasingly constrained fiscal context ▪ No agreed set of terms and definitions used consistently by all actors. No codification of what 'counts' as LLA nor any clarity on who decides	▪ As with adaptation more broadly, almost no interest from private sector actors in supporting LLA (beyond a small set of philanthropies), and no strong narrative on returns on investment to attract private capital ▪ Systemic institutional barriers related to decision-making processes within funding entities ▪ Ongoing issues around who can access funding via what mechanisms and on what time scales ▪ Complex application processes make it more difficult for more marginalised population groups, including people with disabilities, Indigenous Peoples, women and young people, to access finance and resources ▪ Lack of cooperation and coherence between funders — multiple different systems, processes and timelines (for example, for reporting) ▪ Tendency towards short-term, project-based approaches with rigid conditions and limited flexibility to address emerging opportunities or context changes ▪ Ongoing lack of transparency at all stages of the funding cycle ▪ Capacity gaps on all sides — related to understanding modes of operation, language, valuing (or devaluing) different types of knowledge, for example ▪ Most of the climate finance available is provided via non-grant modalities, which are accessible only to governments, and there is a general reluctance to use loan facilities (however concessional) for LLA approaches

2.1 The key barrier for communities: lack of finance and resources

Limited access to finance and resources is the key blocker of enhanced action on climate change at the local level.

According to the best and most recent estimate, total flows for adaptation reached US\$65 billion in 2023 — equivalent to only 3.4% of total climate finance.¹² While issues with data accessibility and accuracy mean this figure could be an underestimate (particularly of private sector flows), it still pales in comparison to current and anticipated needs, which are thought to be between US\$215 billion and US\$387 billion per year.¹³ Even if we doubled the amount of private sector flows captured, finance for adaptation would still total less than 5% of total climate finance and the gap in what is needed would remain staggering.

And total flows are only one part of the issue; while climate finance may be flowing to support adaptation action, in most cases local actors still have little say in what kinds of actions are implemented, by whom and on which (or whose) timeframes.

It is impossible to know precisely how much climate finance reaches the local level,¹⁴ given challenges with reporting (both by donors and recipients), transparency and data accuracy. A number of estimates have been made in recent years, which include the following:

- Only 0.17% of all reported climate funding between 2016 and 2023 specifies that it incorporated locally led approaches.¹⁵
- 17% of adaptation funding reported by the Organisation for Economic Co-operation and Development's Development Assistance Committee (OECD DAC) donors allocated in the five-year period from 2017 to 2021 was targeted at the local level.¹⁶
- Between 2014 and 2018, 10% of adaptation projects in least developed countries (LDCs) targeted more than half of their budget towards local benefits.¹⁷
- 10% of climate finance from the 12 largest climate funds was directed to the local level between 2003 and 2016.¹⁸

While these estimates differ, sometimes quite substantially, they have three things in common:

- The totals in dollars are orders of magnitude lower than required
- The percentages represented of the total volumes in each measurement are unjustly low, and
- They are all based on flawed data and generous

assumptions — and so are likely substantial over-estimates of actual flows.

It is increasingly unlikely that finance will flow in the required volumes to meet all local adaptation needs. Official development assistance (ODA) is stagnant at best and falling at worst, and private capital is not attracted to local-scale investments in highly climate-vulnerable communities. This is not only a question for national governments and donors of all kinds; local communities are key actors — and are already mobilising more funding from their own resources than is provided externally.¹⁹

In this context, where the total amount of funding will never equate to increasing needs, a critical question is: how do we (collectively) make best use of the funding that is available? Different actors will have a range of responses to this question but ensuring the most efficient and effective use of funding should be a clear priority regardless of perspective. Even in a low-growth funding context, identifying ineffective resource use could free up funds for LLA and other priorities. Determining what constitutes 'effective' and 'ineffective', and who makes that distinction and in what ways, are key issues — ones for which the LLA principles provide a useful framework.²⁰

2.2 A key barrier for funders: a perceived lack of evidence

While more finance is needed overall, it is just as important to ensure that what is available is put to best use. The question of how to best use available climate finance is inextricable from issues of perceptions of effectiveness. With increasing constraints on flows of finance via ODA and climate finance channels, traditional donors are looking to achieve more (or the same) with less. Perceptions of locally led approaches as being riskier and more resource intensive will reduce donor interest, with funds more likely to flow to top-down, donor-driven approaches that are, at least hopefully, aligned with national policies — even if these do not always reflect local priorities.

LLA should, however, be considered among the best uses: it is supported by ample anecdotal evidence and a wide array of evidence from pre-LLA programming that broadly aligned with LLA approaches. However, its relatively recent formalisation as a concept means there has been limited time for systemic studies and impact reporting from LLA-specific programmes.

A rapid review of the current evidence base for LLA, undertaken by IIED in early 2025 using strict keyword searches, resulted in some interesting findings. (It is worth noting that, while keyword-based approaches have significant limitations, they are the current best

option for sorting through large amounts of data.) This small, focused research project only used “locally led adaptation” and closely related keywords and was intentionally narrow in scope. A larger, much broader, analysis will be undertaken in 2026 to identify examples of evidence of LLA that is not labelled as LLA.²¹

A limited but growing evidence base: the research identified only 48 publications specifically on LLA, with just 17 (35%) meeting criteria for robust evidence. This indicates LLA is still an emerging field with a relatively small body of quality research.

Theory still predominates: the majority of publications (65%) remain theoretical, focusing on concepts, definitions and methodology rather than practical implementation. This suggests researchers are still establishing foundational frameworks rather than testing real-world applications.

Geographic concentration: evidence is heavily concentrated in certain regions:

- Sub-Saharan Africa leads with 13 publications.
- Southeast Asia, South Asia, Oceania, Latin America and the Caribbean have modest representation (between 4 and 6 publications each).

- The Middle East and North Africa are completely absent from the evidence base.

Relatively narrow sectoral focus: research clusters around key development areas, with agriculture and food security receiving the most attention (8 publications), followed by water, finance access, livelihoods and disaster risk reduction. Energy and infrastructure are understudied from an LLA perspective.

Quality despite quantity: although the volume of research is low, the quality is encouraging — 88% of robust studies were rated medium to high confidence, with nearly half (47%) achieving high confidence ratings. This suggests that, while there is not much specific evidence yet, what exists is generally reliable and can inform practice. Packaging this in ways that show effectiveness and efficiency, as well as clear links to climate impact, is a critical next step in the LLA journey.

Clear research gaps: the evidence points to an urgent need for more empirical, implementation-focused research to move beyond theoretical discussions toward practical guidance for LLA initiatives. There are also significant research gaps around marginalised groups and LLA.

LLA 2030 future state: three scenarios

Geopolitical uncertainties and falling ODA flows mean the current context is one of flux and grave concern for anyone invested in ensuring equitable and just resilience to the now unavoidable impacts of climate change. While we cannot say what will happen in future, reflecting on possible scenarios can be illuminating in identifying key opportunities to catalyse ambition and avoid missteps that take us backwards.



This section contributes to ongoing conversations around scaling LLA approaches that are engaging in questions such as: Where do we want to go? How do we get there? How do we align on a shared vision for the future of LLA? This paper sets out three theoretical scenarios for LLA in 2030 — low ambition ('the great retreat'), medium ambition ('the steady climb') and high ambition ('the transformation'). Each scenario briefly outlines what could happen in three key areas (finance, policy and accountability) and with key actors (national governments, bilateral donors,

multilateral development banks (MDBs), international NGOs, CSOs, vertical climate funds, philanthropies and private sector actors).

The scenarios should not be taken as predictions or propositions but as offering food for thought on possibilities as we grow the LLA-engaged community and explore further what we want to see and how we can help get there. For the visual thinkers, Figure 3 (page 16) summarises the relative importance of push and pull factors for each issue/actor in each scenario.

Scenario 1: Low ambition – 'the great retreat'

By 2030, the story of LLA has become one of missed opportunities and systemic backsliding. What began as promising momentum in the early 2020s has been steadily eroded by a constellation of negative forces that have ultimately overwhelmed the limited positive pushes keeping LLA alive.

The downward spiral

The retreat began with finance flows, which regressed from their modest 2021 peak back to historical levels with local adaptation representing mere rounding errors in global climate finance. National governments, faced with continuing access complexities and competing domestic interests, chose the path of least resistance — pursuing 'lower hanging fruit' in the form of investment in large-scale infrastructure and top-down policy processes. This governmental shift provided cover for bilateral donors to return to their comfort zone of predetermined, top-down, technocratic solutions, while MDBs simply mirrored back national priorities in their country-driven portfolios.

Actors under pressure

The squeeze was felt most acutely by CSOs and international NGOs, which found themselves caught between shrinking ODA budgets and increasingly risk-averse funders. International NGOs, suffering the consequences of scaled-down development assistance, struggled to maintain even basic local adaptation programming. Many followed the lead of their primary donors and refocused away from LLA entirely. Meanwhile, CSOs — many of whom remained committed to LLA principles — faced insurmountable barriers to accessing climate finance, forcing community actions to revert to pilot scales with diminishing uptake over time.

Vertical climate funds felt reduced pressure from their boards and donors to focus on LLA. The Adaptation Fund's LLA windows were primarily accessed by multilateral entities delivering traditional community-

based programmes. The Green Climate Fund, citing challenges with the evidence base and ongoing criticism around speed of disbursement, decided against encouraging large-scale LLA projects. Philanthropies, seeing more immediate needs in food, water and health security, pulled back from adaptation funding altogether.

The policy retreat

Perhaps most damaging was the global policy retreat. LLA lost its 'moment' in international climate negotiations, becoming standard boilerplate text in COP outcomes unaccompanied by any meaningful action. National policy settings remained stubbornly top down, while subnational governments remained unintentional roadblocks to local action.

Private sector actors, seeing little incentive for investment in local-scale resilience — particularly in the poorest communities — maintained their focus on return-generating energy and carbon investments. The policy environment in many countries remained hostile to adaptation-focused private capital.

The outcome: marginalisation

By 2030, LLA has been reduced to a niche issue championed by a dedicated but under-resourced minority. Structural inequalities that existed in 2025 have not only persisted but worsened. Accountability remains entirely upward, with opaque reporting processes and patchy data obscuring the true scale of the retreat. The vision that had once animated thousands of practitioners and policymakers has faded to little more than a historical footnote in the broader adaptation story.

Scenario 2: Medium ambition – ‘the steady climb’

By 2030, the story of LLA is one of persistence and gradual progress. While transformative change remains elusive, a combination of policy momentum, successful scaling up of pilot projects and growing institutional recognition created a foundation for future acceleration.

Building policy momentum

The positive trajectory began with global policy recognition. The integration of LLA into the COP30 Action Agenda and its inclusion in commitments to tripling adaptation finance by 2030 provided crucial legitimacy. This global endorsement created space for national governments to include LLA approaches in policy frameworks, particularly in countries with decentralised governance systems. The appearance of LLA in increasing numbers of national adaptation plans provided positive incentives for investments.

Actors finding their footing

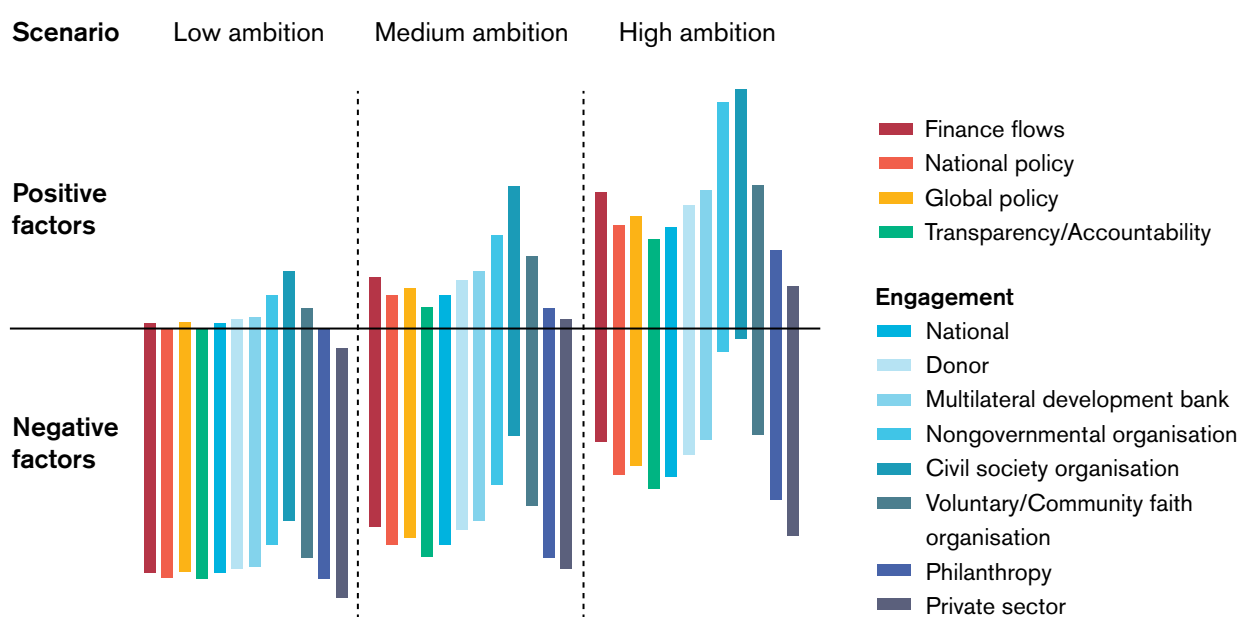
National governments began highlighting LLA as a key priority in climate policies — although only a few were willing to take on concessional loans for local action. More significantly, subnational government capacity improved markedly, with an increasing number of entities achieving direct access accreditation to vertical climate funds. This created new pathways for finance that bypassed traditional bottlenecks.

Bilateral donors remained committed to existing localisation policies but struggled with stagnant ODA budgets and the persistent challenge of doing more with less. A core group continued supporting LLA, recognising it as essential to adaptation effectiveness. MDBs found growing traction through successful programmes such as the World Bank-supported Financing Locally Led Climate Action (FLLoCA) programme in Kenya and the Asian Development Bank’s Community Resilience Partnership Program, which provided templates for other institutions.

The finance evolution

Finance flows increased year-on-year from their low base but relatively small-scale NGO and CSO projects remained the predominant delivery mechanism. The success of the Adaptation Fund’s global and regional LLA aggregator mechanisms began attracting broader donor interest, creating a steady, if modest, stream of resources to growing numbers of CSOs and local organisations. Philanthropic aggregator mechanisms gained traction, with a growing group of adaptation-interested philanthropies seeing LLA as a key point of differentiation.

Figure 3. Illustrated ambition scenarios



Persistent challenges

Despite progress, structural inequalities and power imbalances largely remained entrenched. Access to finance remained the primary constraint for local actors. Data on flows remained opaque, with only a small minority of donors experimenting with 360-degree accountability processes. While international NGOs were still significantly constrained by their dependence on bilateral funding, progressive donors continued supporting them to build LLA momentum.

Interest from the private sector grew slowly, particularly as triple bottom-line reporting and climate risk disclosure processes became more commonplace. However, the focus remained primarily on tangible value-chain and infrastructure investments rather than community-level resilience.

The outcome: normalised but not transformed

By 2030, LLA has become normalised as a key adaptation modality in policy frameworks worldwide. While significant flows through national systems remain exceptional rather than routine, successful models are creating momentum for broader replication. Although the investment case remains unclear for many actors, and negative pull factors still outweigh positive pushes for most institutions, the foundations for future scaling have been solidly established.

Scenario 3: High ambition – ‘the transformation’

By 2030, LLA has achieved something remarkable: it has become entirely unremarkable. What had once been innovative and experimental is now simply how adaptation is done. This transformation has been catalysed by coalescing positive forces that created unstoppable momentum for systemic change.

The catalytic moment

The transformation began with a dramatic commitment at COP32 in Addis Ababa in 2027 to triple the share of adaptation finance reaching the local level by 2030. This was not merely aspirational language – it was backed up by transparent reporting requirements and accountability mechanisms that created system-wide pressure for change. The OECD DAC developed specific LLA markers and guidance, while key bilateral and multilateral donors signed a transparent reporting pledge that fundamentally changed how climate finance was tracked and measured.

Governments leading change

Seeing the benefits of LLA approaches firsthand, an increasing number of national governments invested heavily in building effective decentralised climate finance systems, often with support from MDBs. Subnational governments saw substantially increased finance flows and developed sophisticated capacity to assess risks, support locally owned adaptation planning and deploy resources for implementation. National climate funds began to incorporate dedicated LLA windows as standard practice.

The policy framework evolved to support this shift, with LLA integrated into national adaptation plan guidance and anchored across global climate frameworks.

Models like the Least Developed Countries Initiative for Effective Adaptation and Resilience (LIFE-AR) and the Local Climate Adaptive Living Facility (LoCAL) expanded to dozens of countries, drawing on bilateral and multilateral climate finance sources as well as domestic resources.

Financial transformation

The finance landscape underwent a revolution. Flows slowly recovered to 2021 levels and then accelerated dramatically as the evidence base strengthened. The COP32 commitment created unprecedented momentum, with positive feedback loops driving year-on-year gains in institutionalising LLA approaches across all actor categories.

Bilateral donors, although constrained by evolving ODA landscapes, allocated increasing shares of climate finance to LLA-aligned programming, focusing specifically on the poorest and most vulnerable communities. A core group of leading donors worked with partner countries, MDBs and vertical climate funds to create coordinated examples of scaled LLA that became templates for global replication.

Institutional evolution

MDBs scaled up successful models globally, with the World Bank and Asian Development Bank leading the way, while regional banks built their own LLA capacity

and pilot programmes. Policy-based loans became common vehicles for low- and middle-income countries to scale up LLA mechanisms through national systems.

Vertical climate funds underwent their own transformation. The Adaptation Fund doubled its aggregator windows and streamlined access processes, and the Green Climate Fund deployed a dedicated LLA mechanism modelled on its private sector facility. Resources flowed at unprecedented scales through these mechanisms.

Civil society empowerment

As communities began seeing climate finance flow through national systems, CSOs scaled up dramatically. Many became subnational or national aggregators, supporting governments that had limited capacity and ensuring communities did not miss out on available resources. An increasing number of CSOs accessed vertical climate fund resources directly, supplementing what communities received through national mechanisms.

International NGOs found new roles in this ecosystem, with progressive donors and philanthropies supporting experienced organisations to build CSO and subnational actor capacity for direct finance access. Philanthropic commitments shifted toward ten-year timeframes with core institutional support, ramping up funding flows over time as capabilities grew.

Market development

Private sector investment appetite for local resilience grew as global markets reshaped. Private actors began leveraging opportunities created by donor investments in adaptation goods and services at the community

level. While private flows remained a relatively minor component through 2030, the foundation was laid for significant scaling up beyond that timeframe, particularly as national governments sped up the process of reforming their policy and regulatory environment.

The accountability revolution

Perhaps most significantly, accountability was transformed from being a largely upward process to comprehensive 360-degree systems. The majority of funders adopted downward accountability mechanisms, creating genuine feedback loops between communities and the institutions supporting them. National governments supported these processes and increasingly incorporated local-to-national feedback loops in their decentralised finance systems. This accountability revolution ensured that the dramatic scale-up of resources was matched by equally dramatic improvements in effectiveness and responsiveness.

The outcome: system change

By 2030, positive push factors have achieved critical mass across the climate finance system. LLA has evolved from an innovative approach championed by dedicated advocates to a key part of the standard operating procedure for adaptation globally. Finance flows routinely through national systems to local actors, communities have direct access to resources and decision-making processes, and the entire ecosystem has restructured itself around locally led approaches. The transformation has been so complete that newcomers to the field struggle to understand why LLA had ever been considered innovative — it is simply how adaptation works.

A vision for LLA in 2030

These scenarios have been developed to envision a range of possible futures — all of which are plausible to varying degrees. Key actors in adaptation finance and champions of LLA within institutions are well positioned to help usher in a future that, hopefully, looks more like Scenario 3 than Scenario 1.

An earlier version of this paper was provided as a pre-read to participants of a Wilton Park event at Wiston House (UK) in September 2025. The event, 'Achieving scale and sustainability: an action plan for implementing locally led adaptation' was convened by the UK Foreign, Commonwealth and Development Office (FCDO), in collaboration with IIED, the World Bank and the World Resources Institute.

During the convening, more than 50 participants from a wide range of champion institutions and champions within institutions, came together to engage in intra- and inter-constituency dialogues to find common ground and identify pathways to common objectives. Participants came from national governments in both the global North and global South, donor agencies, multilateral entities, climate funds, NGOs, CSOs, philanthropies and think tanks. Together, they formulated the following vision for LLA in 2030:

*"Locally led approaches to climate action will be a core component of building inclusive, integrated adaptation and resilience to the impacts of climate change."*²²

Looking forward

A unified vision is a helpful starting point for scaled up action. But there is more to be done. During the Wilton Park event, participants also co-created a roadmap for action. During discussions, five key areas emerged as critical components of an action agenda for LLA: addressing the inaccessibility of finance, strengthening communications and advocacy, generating and packaging evidence, increasing institutional support for LLA, and building government leadership.

Through participatory processes and dialogue, participants identified a significant number of key actions needed under each area. Each participant indicated which they viewed as the most critical actions to take forward as individuals and a group. The top five actions that emerged from this process were:

- **Finance:** identify and/or develop models for implementing LLA approaches at scale, building on what works at different scales.
- **Institutions:** build on existing systems and processes to strengthen institutions that integrate and support LLA approaches.
- **Communication:** create an advocacy strategy and toolkit to make a coordinated case for LLA.
- **Evidence:** support storytelling by local communities on LLA successes and build links between LLA champions and existing evidence.
- **Evidence:** highlight what is working, identify missing sectors and geographies, and find additional champions.

These actions, along with many others, are critically important if we are to achieve our ambitions for LLA by 2030. To get there we need new coalitions and partnerships that transform our approaches to adaptation. We need new actors to join with those who have been working on LLA approaches for years. We need to push in the same direction from inside and outside, leaning into the things that work, standing firm on the core of what makes LLA a different and better way of doing adaptation, but also making pragmatic compromises to bring more and more institutions into the LLA 'tent'.

So, what can you do? There are (at least) three immediate steps you can take.

1. Join the global LLA community of practice, which is a great source of support and resources — contact locallyledadaptation@iied.org to learn more
2. Engage in the LLA learning journey to extend your knowledge and resource-base. Annual events, including the annual Gobeshona, CBA and D&C Days, are key moments in which the LLA community comes together to share and learn and push the agenda forward.
3. Identify ways in which your institution can support LLA approaches, perhaps starting with one or more of the actions outlined.

Steps one and two will help with step three. To kick start your journey, or help you take the next step, some useful resources are outlined on page 22.

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 - 21 While the outputs of this study have not yet been published, a note on the methodology may be useful here. To assess whether the list of publications containing the selected keywords could be included and assessed as 'evidence', each publication was reviewed, focusing on the abstract and a preliminary reading, and categorised into the following five possibilities: evidence; theoretical; does not adequately address LLA; insufficient information to assess; or both theoretical and evidence. Each category included parameters to ensure consistency. The short list of qualifying papers and reports were then analysed more deeply against a set of questions.
 - 22 See note 6.

Related reading

Pichon, F, Joshi, R, Thazin Aung, M and Setaro, L (2025) Practical guidance for aligning operations with the LLA principles. IIED, London. www.iied.org/22667iied

Mitchell, P, Thazin Aung, M and Setaro, L (2025) Lessons for designing locally led adaptation programmes. IIED, London. www.iied.org/22663iied

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Over 130 governments and organisations have endorsed the eight principles for locally led adaptation (LLA) since their launch at the Global Adaptation Summit in 2021, yet less than 1% of climate finance incorporates locally led approaches. This gap between rhetoric and reality is costly: with adaptation needs estimated at US\$215–387 billion annually against available finance of just US\$65 billion, ineffective resource allocation has profound consequences for the world's most climate-vulnerable communities. This paper examines why LLA — which places decision-making power directly in communities' hands — has gained widespread policy support but minimal implementation at scale. It explores three potential scenarios for LLA by 2030 and charts pathways from principles to scaled-up practice based on extensive stakeholder consultations.

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